

Research Briefing | Italy

Rising sovereign yields will not derail debt dynamics

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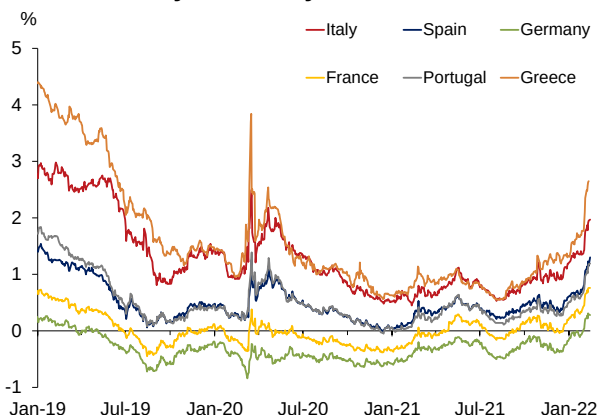
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- The ECB's unexpectedly hawkish shift tone prompted a sizeable market reaction, with Italian 10-year bond yields rising 55bps, to 1.95%. However, we don't believe higher yields per se, coupled with fiscal policies over the medium term, will derail Italian debt dynamics. And while the yield rise has arrived sooner than we predicted, higher-yielding Italian debt has long been incorporated into our baseline projections.
- The current situation, moreover, is different than previous episodes, such as the 2011-2012 debt crisis or the 2018 political turmoil. This time, the sell-off began with the repricing of the risk-free rate rather than by some uniquely Italian factors. Italy is not lagging the eurozone and the effective interest rate at around 2% is at its lowest level. And for once, politics is not interfering, with the current Draghi government able to continue for at least another year.
- But with public debt at over 150% of GDP, significant risks remain. Given our forecast of subdued growth over the long term, it's imperative Italy return to a primary surplus and reduce sovereign debt. That said, should negative risks materialise and Italy be unable to pursue a fiscally prudent path, the country still has options open to it that were not there a decade ago. Those options would depend on the severity and duration of market stress and can range from ECB support to an intervention involving the ESM.

Government bond yields in the eurozone surged after the ECB's hawkish [shift](#) at its February meeting. The shivers were felt throughout the EZ (**Figure 1**), with the 10-year German bond yield up by 25bps and turning positive for the first time since 2019. The periphery was hit even harder, with yields jumping 90bps in Greece, 55bps in Italy, and 45bps in both Spain and Portugal. **The question of public debt sustainability once again returned to the fore – and, in particular, the sustainability of Italy's debt.**

Figure 1: Markets are repricing eurozone sovereign debt after the ECB meeting in early February

Eurozone 10-year bond yields



Source: Oxford Economics/Haver Analytics

Markets reacted strongly to the hawkish turn at the ECB's February meeting. Yields on peripheral government bonds, such as Italian and Spanish sovereigns, have surged.

But while the jump in yields was faster than expected, it is not entirely a surprise. Indeed, we had long incorporated higher yields for Italian debt – as well as other peripheral sovereign debt – in our baseline. And though it happened a couple of quarters earlier than we thought, **we see the move as a step towards fair value that takes into account the removal of ECB stimulus and a realistic assessment of the domestic environment.**

Increases in interest rates of this magnitude do not warrant alarm for debt sustainability

For now, though, there's little alarm over the issue of debt sustainability. The effective interest rate paid on the Italian debt is estimated to have remained close to 2% in 2021 (at around €60bn), down sharply from the 5% in the decade from 2000-2010. This means any increase in bond yields will start from a very low level. The seven-year government bond yield (proxy for the average costs for Italian debt given its maturity profile) is currently 1.6%, around 50bps below the expected effective servicing cost for this year. Despite the increase, the cost of debt servicing relative to GDP could decrease going forward. Given the relatively long maturity of debt, it will take time before any yield increase is felt in debt-servicing costs. But even in the unrealistic assumption of a permanent shift already from this year by 50bps of the effective interest rate, the impact on public debt in five years will be very marginal, with its level only 4ppt higher than in baseline.

The difference this time is that Italy isn't lagging the eurozone

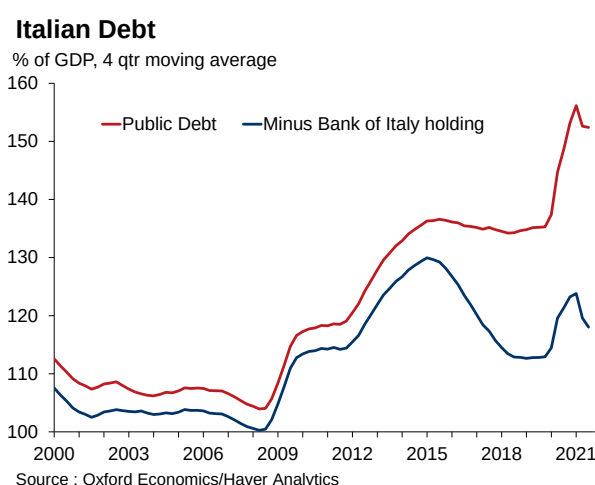
The current situation is completely different compared to previous episodes such as the 2011-2012 debt-crisis or the 2018 political turmoil, when the Five Star-Lega government took a confrontational stance towards the European Commission. **Besides the low cost of debt, we believe the situation is dissimilar due to the following factors:**

- **Limited idiosyncratic risk**: With markets now expecting two ECB rate hikes this year, **the current sell-off in bonds has been triggered by the repricing of the risk-free asset (the Bund), rather than specific factors linked to the Italian situation.** This does not mean that Italian debt will be unaffected. But it does suggest that a market move in the other direction is still possible (although not likely over the coming months) if inflation surprises to the downside. Moreover, it means that in case of larger increases in all peripheral spreads, the ECB could intervene without favouring any single country.
- **Draghi government to last at least another year**: With the reappointment of President Mattarella to another term, **the current Italian government is likely to continue until mid-2023, when elections are scheduled.** Politics thus will not be a major drag on confidence – and for once is not likely to trigger a market reaction. Plus, the chance of a political realignment towards the centre is rising. While it's still too early to tell, Draghi's experience would prove a boon in leading such a government, allowing for the current reform agenda to continue – an upside risk to our less optimistic baseline.
- **Italy not lagging the eurozone**: The prompt, forceful policy response to the pandemic has **limited** the divergence in recoveries across eurozone countries. Moreover, **Italian GDP had almost returned to its pre-pandemic level at the end of 2021, a better outcome than in Spain and Germany.** This year, we expect another strong year of growth, with nominal GDP seen expanding nearly 6%. Mechanically, this will cut off a decrease in the debt-to-GDP ratio of around 6 ppts, with debt over GDP seen decreasing by 4ppts as fiscal policy will still be broadly expansionary. While growth risks are weighted to the downside, the swift economic expansion expected in the spring and the summer will be enough to prompt strong GDP growth, in our view, helping to improve fiscal metrics.

Moreover, the implementation of the recovery plan could result in [stronger](#) growth than expected in the medium term.

- **External metrics are improved:** Italy has been able to run a current account surplus every year since 2013. And, despite the increase in imported energy prices which will negatively impact the merchandise balance, we expect the current account to remain in surplus in 2022, before gradually reaching the recent historical average of 2%-2.5% of GDP over the medium term. This means that **Italy has been reducing its liabilities towards the rest of the world, shielding the economy against the unlikely scenario of a sudden end to foreign financing.**
- **Large portion of public debt is held by the eurosystem:** The Bank of Italy currently holds around €65bn of Italian sovereign debt (**Figure 2**), a small portion of which is a pre-QE legacy. Excluding this, public debt is actually close to 120% of GDP. The **debt metric is less worrying than the headline debt figure would suggest.** And as the ECB is planning to reinvest the maturing principal payments from securities purchased under the PEPP until at least 2024, rollover risk is minimal.
- **Banking system is more resilient despite its exposure to sovereign debt:** Italian financial institutions hold a large portion of domestic public debt (around 15%). But [in contrast](#) to the past, banks' capital and liquid positions are healthier, with the common equity Tier 1 ratio at 15% and the bad debt-to-loans ratio at 2%. This should limit the impact of a "doom loop" scenario.

Figure 2: The ECB, via PEPP and PSPP, was one of the main buyers of Italian debt over the past few years



Public debt peaked last year at 156%, but the picture is less worrying if we exclude the Bank of Italy's holdings. The latter increased massively over the past few years as the ECB beefed up its QE programme.

Prudent fiscal policy is critical in the long run to debt sustainability

In case of severe stress, some options remain

The current rise in yields per se is not a problem in the short term. **But, over the medium term, returning to a primary surplus will be crucial for Italy in order to keep its fiscal metrics under control.** This is because we expect Italian medium-term growth to remain subdued and to return to its pre-pandemic trend.

Over the long term, we see governments implementing fiscal tightening, gradually bringing the primary balance to a surplus of around 1%-1.5% of GDP (in line with the average seen in 2011-2019). This would be enough to keep Italian government debt on a sustainable path. Moreover, **this could happen much earlier in case of sustained market stress.** Even the more vocal anti-EU governments were forced to implement some tightening, with the populist government formed by the Five Star Movement and the Lega helping to reach a primary surplus of 1.9% of GDP in 2019.

However, several political and growth risks could materialise over the coming years that pose a threat to our baseline view, which assumes that Italian debt will not be treated as suspect by markets, as the fiscal stance will be broadly appropriate. In the event of a severe market reaction, though, Italy (along with other European countries) would still be able to count on several options. That said, none of the options (**Figure 3**) would be easy to implement, as all of them entail difficult political decisions. In such a case, history would probably repeat itself, with governments side-stepping having to take responsibility for tough choices. We therefore think that **prudent fiscal policies remain the most feasible way to keep Italian public debt dynamics under control.**

Figure 3: The strategy toolkit of for handling an Italian sovereign-debt distress

Italian government debt management strategies			
Mild market stress - increased financing costs			
Scenario	Description	Feasibility of the solution	Weakness of the solution
ECB re-adopts dovish policy stance	APP continues and interest rates are maintained.	Feasible to continue the current setup.	Other countries could put pressure on ECB's large exposure towards one single country.
Pandemic crisis support	ESM credit line linked to the pandemic with no conditionality attached (only transparency on expenditures would be required).	A "pandemic credit line" has been agreed in 2020, based on the an instrument already in place (ECCL), to finance direct and indirect healthcare, cure and prevention costs related to the pandemic.	Political pressure from some countries on absence of conditionality and Italy's resistance to the ESM. Short availability of the credit line to be requested until the end of 2022. The agreed 2% of GDP size could be too little to reassure the markets. Access to OMT is very unlikely with no conditionality.
ESM credit line with conditionality	ESM proper credit line.	The instrument is already available and feasible to implement (ECCL). Access to ECB's OMT can be foreseen.	Same as above + stronger stigma attached.
Severe market stress - potential loss of market access			
Scenario	Description	Feasibility of the solution	Weakness of the solution
Political ad hoc situation	The government takes extraordinary measures to finance fiscal expenditures (i.e. "patrimoniale", "prelievo forzoso"...).	Italy has a considerable level of personal savings and this kind of solution would not require Europe's intervention.	Politically impracticable.
Macro-adjustment program	ESM loan.	Italy would gain in terms of financing cost over a longer period. Access to OMT will be allowed.	A 10-15 year loan facility may not bring huge benefit in terms of cost reduction given the level of outstanding debt + political resistance is augmented in this case (a more perceived loss of sovereignty).
Macro-adjustment + debt restructuring	ESM loan granted conditional on some private sector involvement (haircut applied to debt holdings)	Same as above + reduction of debt level.	Same as above + PSI is socially undesirable.